

Outcome of ECMC review of AEMO's governance arrangements

10 August

Last week, the Energy and Climate Change Ministerial Council (ECMC) published the final report together with its response to the review of AEMO's governance arrangements.

Announced in February and led by independent reviewer, Mr Nigel Ray PSM, the report includes 14 recommendations informed by consultation and input from key stakeholders, including AEMO's submission.

The review has provided an important opportunity to ensure AEMO's governance remains fit for purpose and is in alignment with our core roles and responsibilities as the markets and systems operator and system planner.

AEMO has initiated a program of work to address the common themes identified through the review, including the need for AEMO to operate more prudently and efficiently, to strengthen financial transparency and cost management, enhance financial reporting and improve stakeholder engagement.

This program will help to ensure AEMO has the governance settings, processes and capabilities required to support its critical roles, while continuing to adapt to the evolving needs of Australia's energy systems and markets.

Source: AEMO

The full announcement is available at: <https://www.aemo.com.au/newsroom/news-updates/outcome-of-ecmc-review-of-aemos-governance-arrangements>

ANALYSIS

\$3.70 against \$1.00; a Queensland scenario

That is what a Queensland wind farm and a Queensland solar farm earn from the same megawatt-hour. Same grid, same year, same prices.

One of those covers its costs on merchant energy revenue. The other needs a contract to exist.

I pulled every Queensland wind and solar unit that ran a full calendar 2025. Seven wind farms (Coopers Gap, MacIntyre and Clarke Creek among them), 37 solar farms, 10.4 TWh between them. Then I worked out what each one actually banked per megawatt-hour, against what that same energy would have earned spread evenly across the year.

Two things sit between megawatt-hours produced and dollars received.

Capture rate is how the price behaves during the hours your asset happens to be running.

Marginal loss factor is how much of that survives the trip down the wires to the point where the market settles.

Multiply them. Call it the effective revenue factor.

Continued next page...

Wind: 103.8% capture, 96.1% MLF, 99.8% effective. Solar: 28.9% capture, 94.0% MLF, 27.1% effective.

3.7 times, inside one state, in one year.

The reason is not exotic. Every solar farm in Queensland generates in the same six hours, so it competes with the others and with nobody else. 51.5% of Queensland solar energy last year settled at zero or below. For wind it was 12.5%.

Wind's capture above 100% is the arithmetic proof. It generates disproportionately in the expensive hours. It meets the evening ramp instead of the midday floor.

Put a cost on that. Take a solar farm at \$45/MWh. It needs the flat regional price to average \$166/MWh before energy revenue covers it. Queensland's averaged \$84.89.

We compare renewables on cost per megawatt-hour produced. Nobody is paid for a megawatt hour produced. You are paid for a megawatt hour delivered, at a particular hour, at a particular point on the network.

For anyone underwriting solar right now: what effective revenue factor is in your model, and where did that number come from? I would genuinely like to know if people are doing this a better way.

Method: calendar 2025, units with a full calendar year of data, energy-weighted, region time-weighted price as the denominator. Energy revenue only, so no FCAS, no LGCs, no contract positions.

Source: Kanav Verma
ARIA Energy
Email: kanavverma2000@gmail.com

